

Deere & Company

NYSE : DE · \$185.14B mkt cap · 270M sh · \$8.28B cash, \$13.8B debt · \$8.28B cash; ~\$13.8B modeled equipment-ops debt (excludes the ~\$45B captive lender; see pushback); ~270M shares; Revenue \$45.7B FY25 (-12%, third down-year off the FY23 \$61.3B peak); GAAP op margin 14.0% (trough); FCF ~\$6.1B (~13%); ~\$685, YTD ~+47%, TTM ~+50%; ~31x trough FCF DCF

\$684.73

THE CENTRAL QUESTION

Has Deere's stock already priced the ag-cycle recovery off the trough, or does the precision-ag recurring-revenue mix structurally lift mid-cycle margins beyond what ~31x trough FCF embeds?

Deere trades at ~\$185B (~\$685, +47% YTD into the cycle low) — ~31x trough FCF on \$45.7B revenue down 12% in the third year of an ag down-cycle, GAAP operating margin compressed to 14.0%, FCF ~\$6.1B. The DCF asks whether the recovery is already priced: the modal case says largely yes (base -35%) — a full multiple on trough earnings already discounts the upturn. The bull is the cycle turning plus precision ag de-cyclicalizing margins. The finding: -34.1%, quality bought rich near a trough.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$451.41 expected fair value today
-34.1% vs spot \$684.73

most likely case (base) -34.7% · 92% at or below spot

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$693.69	\$1,066.80	\$1,641.90	\$2,529.04
1.01× spot	1.56× spot	2.40× spot	3.69× spot

WEIGHTING RATIONALE

Ultra Bear 14% Deeper, longer ag recession; trough deepens; ~\$219 (-68%).

Bear 27% Recovery is slow; trough margins stick; ~\$342 (-50%).

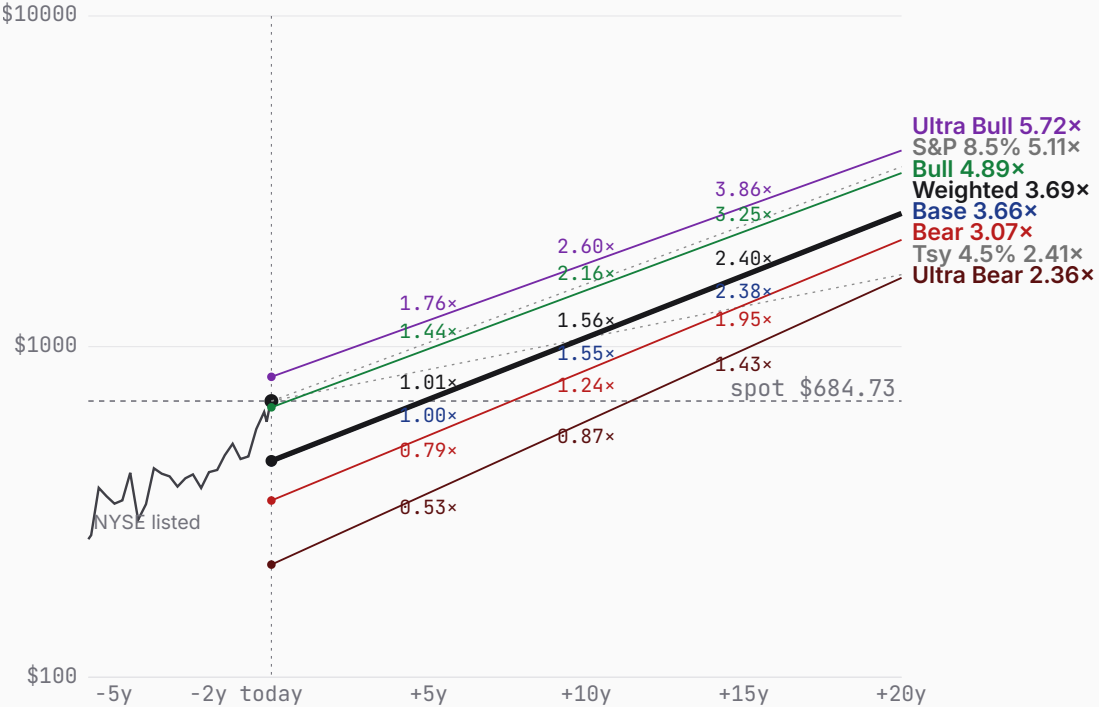
Base 34% Cycle recovers as priced; mix nudges margins; ~\$447 (-35%).

Bull 17% Cycle turns + precision ag de-cyclicalizes; ~\$655 (-4.3%).

Ultra Bull 8% Precision-ag platform re-rates the cycle away; ~\$810 (+18.4%).

Bull (17%) + Ultra Bull (8%) together contribute \$176.24 — 39% of the \$451.41 expected value despite 25% combined probability. Today's spot (\$684.73) sits 52% above the weighted expected; the forward-weighted value reaches spot in about 5 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$219.23	BEAR	\$342.52	BASE	\$447.05	BULL	\$655.36	ULTRA BULL	\$810.42
	-68.0% vs spot		-50.0% vs spot		-34.7% vs spot		-4.3% vs spot		+18.4% vs spot
CAGR +1.1% WACC 10.5% CAGR +1.1% Prob 14%		CAGR +4.0% WACC 9.5% CAGR +4.0% Prob 27%		CAGR +6.2% WACC 9.0% CAGR +6.2% Prob 34%		CAGR +8.2% WACC 8.5% CAGR +8.2% Prob 17%		CAGR +10.0% WACC 8.2% CAGR +10.0% Prob 8%	
Deeper, longer ag recession.		Recovery is slow; trough margins stick.		Cycle recovers as priced; mix helps.		Cycle turns + precision ag de-cyclicalizes.		Precision-ag platform re-rates the cycle.	

PROBABILITY WEIGHTS

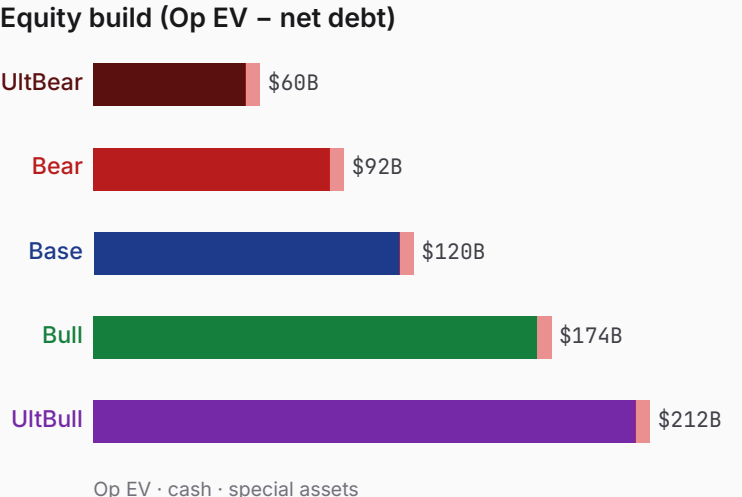
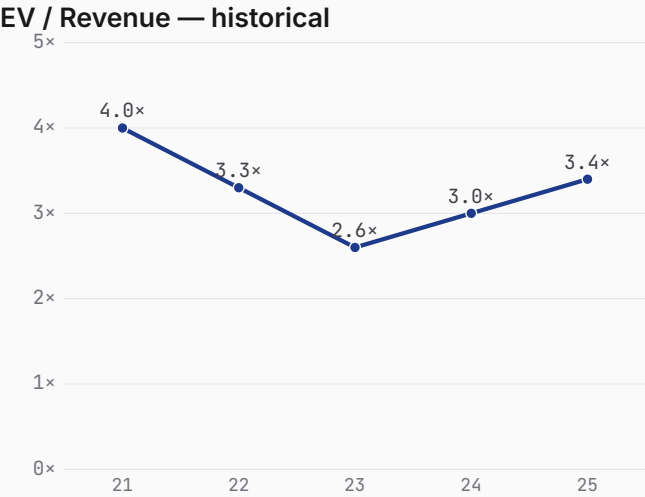
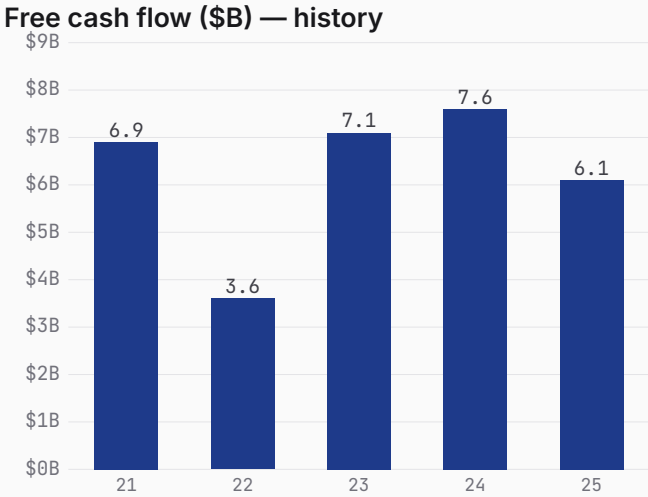
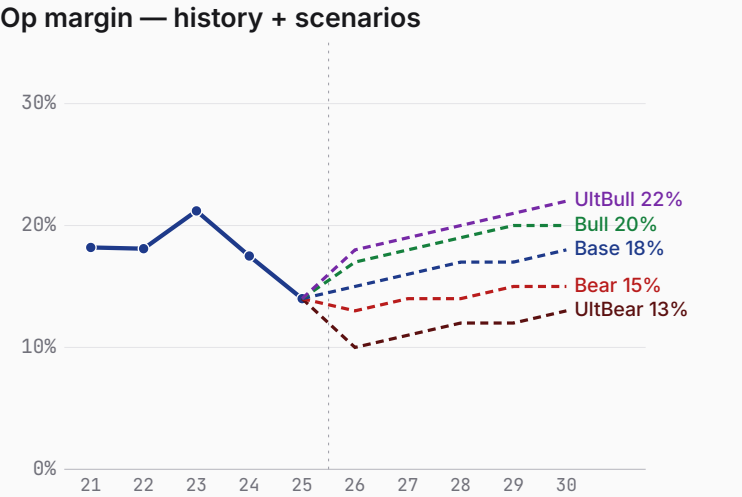
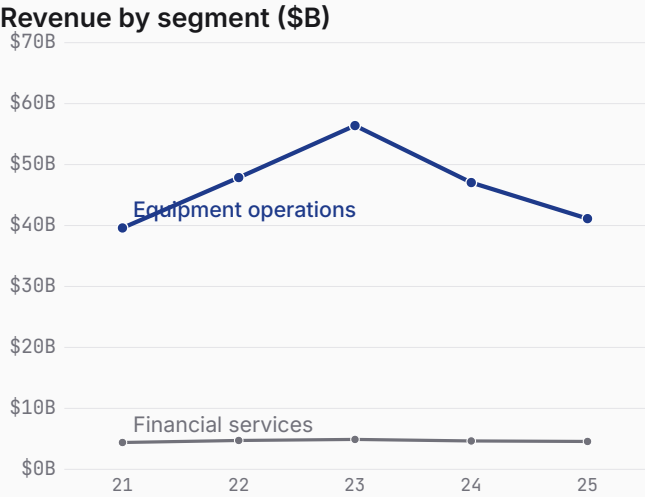
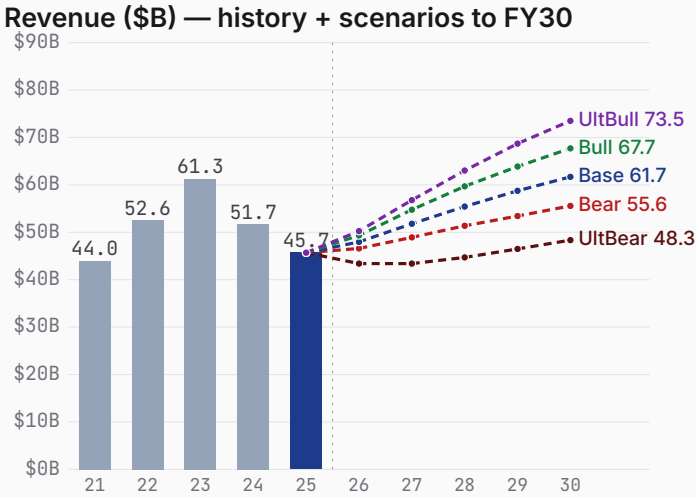
Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$451.41 (-34.1% vs spot)

ULTRA BEAR	\$219.23	BEAR	\$342.52	BASE	\$447.05	BULL	\$655.36	ULTRA BULL	\$810.42
	-68.0% vs spot		-50.0% vs spot		-34.7% vs spot		-4.3% vs spot		+18.4% vs spot
Probability 14%		Probability 27%		Probability 34%		Probability 17%		Probability 8%	
Deeper, longer ag recession.		Recovery is slow; trough margins stick.		Cycle recovers as priced; mix helps.		Cycle turns + precision ag de-cyclicalizes.		Precision-ag platform re-rates the cycle.	
WHY 14%		WHY 27%		WHY 34%		WHY 17%		WHY 8%	
The genuine bear: large-ag is already guided -15-20% with weak farm income, the FY26 net-income guide (\$4.5-5.0B) is roughly half the peak, and a full multiple on trough earnings has no cushion if the trough deepens. 14% weight on a deeper/longer recession.		The cycle turns but a weak farm economy + the ~\$1.2B tariff drag keep margins near trough levels and the precision-ag mix immaterial. 27% as the plausible 'recovers but slowly' path given the maintained-but-halved FY26 guide.		Requires the cycle to recover on a normal timeline with the mix nudging mid-cycle margins higher - consistent with management calling 2026 the bottom and the C&F/small-ag recovery already underway. 34% as the central outcome; the recovery is real but discounted.		The cycle bottom + operating leverage on recovery + a precision-ag recurring-revenue mix structurally lifting mid-cycle margins - the swing factor playing out. ~17% weight on the de-cyclicalization being real.		Everything works - cycle recovery AND operating leverage AND precision-ag recurring revenue scaling into a platform re-rate. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The down-cycle extends rather than bottoms: large-ag (Production & Precision Ag) keeps falling past the guided -15-20% as farm income stays depressed, used-equipment inventories overhang new sales, and tariffs (~\$1.2B FY) compound the squeeze. Revenue declines again before a shallow late-decade recovery; operating margin troughs near 10-13% and the recurring-revenue mix is too small to cushion the drop.		The cycle bottoms but the recovery is muted: large-ag stabilizes rather than snaps back, Construction & Forestry and small-ag carry the early upturn, and net price discipline holds, but tariffs and a soft farm economy keep operating margin in the mid-teens. Precision ag grows but stays a small share. Revenue recovers low-single-digit to ~\$56B by FY30.		The modal path: 2026 is the bottom (per CEO John May), the ag cycle recovers along its normal arc, and structurally higher trough margins plus a growing precision-ag recurring-revenue stream (See & Spray, autonomy, JDLink ARR) lift operating margin back toward 17-18% by FY30. Revenue compounds mid-single-digit off the trough to ~\$60B.		The cycle inflects with operating leverage and the precision-ag thesis lands: See & Spray, autonomous tractors and JDLink convert into a meaningful recurring software/ARR stream that lifts structural margins and dampens the boom-bust swing. Operating margin reaches ~20% on a faster recovery; revenue compounds high-single-digit.		The full second act: autonomy and a See & Spray / JDLink software platform scale into a high-margin recurring layer large enough that the market re-rates Deere from a cyclical toward a precision-agriculture technology compounder, while a strong cycle recovery adds leverage on top. Operating margin pushes past 22%.	
A capital-goods cyclical caught a year early in a worse-than-feared recession earns a low-teens trough multiple — DCF ~\$219 (-68%). The captive-lender complexity and a richer-than-peer starting valuation amplify the downside.		DCF ~\$342 (-50%) — a slow, margin-capped recovery doesn't support a full multiple on trough FCF; the de-rate toward a normal mid-cycle valuation is warranted if the mix doesn't shift.		DCF ~\$447 (-35%) — the recovery the bull narrates is largely what today's price already embeds; at a full multiple on trough FCF the modal mid-cycle outcome lands below spot. Roughly the expected normalization, already priced.		DCF ~\$655 (-4.3%) - if recurring precision-ag revenue genuinely de-cyclicalizes the mix and the cycle turns with leverage, the full multiple is justified, yet value lands just below spot. The core of the bull.		DCF ~\$810 (+18%) - the platform mix earns a premium multiple and the cyclicity discount compresses; ~8% probability, the asymmetric upside above a justified full price.	

Deere & Company business snapshot

Bear \$342.52 Base \$447.05 Bull \$655.36

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Oct · FQ2 FY2026 (ended May 3) results



Sources: SEC XBRL company facts (CIK 315189), Deere FQ2 FY2026 release (revenue \$13.37B/+5%, EPS \$6.55, Production & Precision Ag -14%/op profit -39% = the trough, FY26 net-income guide \$4.5-5.0B, ~\$1.2B FY tariff headwind). NOTE: modeled debt (\$13.8B equipment ops) EXCLUDES Deere's ~\$45B captive-finance borrowings (offset by finance receivables), so the DCF simplifies a company with a large captive lender. FCF = revenue x FCF margin off FY25; Gordon terminal; vs peers.

Deere & Company 7 Powers · the moat, scored

Bear \$342.52 Base \$447.05 Bull \$655.36

Arena. Farm + construction equipment - Deere (scale leader, dealer network + installed base, emerging precision-ag tech) vs CNH Industrial, AGCO, Kubota in ag and Caterpillar/Komatsu in construction; auditing a scale + cornered-resource Power against the ag cycle and tariffs.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here

Network Economies

Counter-Positioning

Switching Costs

Branding

Cornered Resource

Process Power

Dominant Power: #1 global ag-equipment maker with R&D, manufacturing and parts scale peers can't match; structurally higher trough margins than prior cycles.

JDLink/Operations Center data network is growing but not yet a hard network effect; emerging with precision ag.

The incumbent, not the disruptor; precision-ag autonomy is more extension than counter-position.

Real: an installed fleet, dealer service relationships, JDLink data lock-in and operator familiarity make a farmer's next purchase sticky.

The green brand commands a price premium and resale value, but doesn't override the ag cycle.

The exclusive franchised dealer network + the largest installed base - hard to replicate, the distribution moat under the scale Power.

Nascent: precision-ag/autonomy (See & Spray, autonomous tractors) is a building manufacturing+software capability, unproven as a durable margin shifter at scale.

PEER SET

CNH Industrial 0% gr · 10% mgn · ~10x P/E
Case IH / New Holland - the #2 full-line ag player; the direct large-ag share comp, also cycle-pressured.

AGCO 0% gr · 8% mgn · ~12x P/E
Fendt/Massey Ferguson - pure-play ag, smaller and more cyclical; the precision-ag (PTx) challenger.

Caterpillar (CAT) 5% gr · 20% mgn · ~18x P/E
Construction/mining scale leader; overlaps Deere's C&F segment, the construction-cycle comp.

Kubota · ~12x P/E
Strong in compact/small-ag and Asia; smaller-equipment share pressure, not the large-ag core.

THREAT VECTORS · FALSIFIERS

- Scale Economies** · The ag down-cycle + tariffs
falsifier: Large-ag declines worsen and operating margin stays stuck in the low-teens, showing the trough is deeper/longer than priced.
- Process Power** · CNH PTx / AGCO precision-ag challengers
falsifier: A rival's precision-ag platform wins data/autonomy share, capping the recurring-revenue mix that the bull needs to de-cyclicalize margins.
- Cornered Resource** · Direct-to-farmer / dealer-model disruption
falsifier: Right-to-repair pressure or new distribution erodes the dealer-network + JDLink lock-in that anchors switching costs.

COMPETITIVE READ

Deere's scale Power is durable (high) - the #1 ag-equipment maker with a cornered dealer network, the largest installed base, and real switching costs from fleets and JDLink data; the structurally higher trough margins this cycle are evidence the moat is widening. The Audit: the live threats are the ag cycle itself plus ~\$1.2B of tariffs (which compress margins regardless of moat), and the contest over whether precision ag (See & Spray, autonomy) scales into a recurring-revenue layer that de-cyclicalizes the mix - or whether rivals (CNH PTx, AGCO) split that prize. That squares with the -34.1% finding: the franchise is excellent, but bought at ~31x trough FCF the modal recovery is already priced, and only the bull's de-cyclicalization (or a strong cycle turn) justifies the full multiple.

Deere & Company show your work

Bear \$342.52 Base \$447.05 Bull \$655.36 · Weighted \$451.41 (-34.1%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$219.23					\$342.52					\$447.05					\$655.36					\$810.42				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+1.1					+4.0					+6.2					+8.2				
Year-5 op margin (%)					13.0					15.0					18.0					20.0				
WACC (%)					10.5					9.5					9.0					8.5				
Terminal growth (%)					2.0					2.5					2.5					3.0				
Terminal FCF (\$B)					\$6.29B					\$7.78B					\$9.25B					\$11.51B				
Starting revenue (\$B)					45.68					45.68					45.68					45.68				
Scenario probability (%)					14					27					34					17				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	43.40	+10%	+4.34	+3.93	FY26	46.59	+13%	+5.59	+5.11	FY26	47.96	+15%	+6.24	+5.72	FY26	49.33	+17%	+6.91	+6.37	FY26	50.25	+18%	+7.54	+6.97
FY27	43.40	+11%	+4.77	+3.91	FY27	48.92	+14%	+6.36	+5.30	FY27	51.80	+16%	+7.25	+6.10	FY27	54.76	+18%	+8.21	+6.98	FY27	56.78	+19%	+9.09	+7.76
FY28	44.70	+12%	+5.36	+3.98	FY28	51.37	+14%	+6.68	+5.09	FY28	55.43	+17%	+8.31	+6.42	FY28	59.69	+19%	+9.55	+7.48	FY28	63.03	+20%	+10.71	+8.46
FY29	46.49	+12%	+5.58	+3.74	FY29	53.42	+15%	+7.48	+5.20	FY29	58.75	+17%	+8.81	+6.24	FY29	63.87	+20%	+10.22	+7.37	FY29	68.70	+21%	+12.37	+9.02
FY30	48.35	+13%	+6.29	+3.81	FY30	55.56	+15%	+7.78	+4.94	FY30	61.69	+18%	+9.25	+6.01	FY30	67.70	+20%	+11.51	+7.65	FY30	73.51	+22%	+13.23	+8.92
Σ PV explicit FCF					+19.37					+25.64					+35.85					+41.13				
+ PV terminal (g 2.0%)					45.78					72.36					143.34					176.72				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$65.15B					\$98.00B					\$125.33B					\$179.19B				
+ Cash & investments					\$8.28B					\$8.28B					\$8.28B					\$8.28B				
– Total debt					\$13.80B					\$13.80B					\$13.80B					\$13.80B				
= Equity value					\$59.63B					\$92.48B					\$119.81B					\$173.67B				
FY30 shares (M)					272					270					268					265				
= Expected per share					\$219.23					\$342.52					\$447.05					\$655.36				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$361.17	\$595.01	\$980.24	\$1,614.90		\$539.21	\$848.84	\$1,336.28	\$2,103.62		\$687.84	\$1,058.33	\$1,628.37	\$2,505.45		\$985.44	\$1,481.76	\$2,228.06	\$3,350.23		\$1,201.84	\$1,782.31	\$2,643.13	\$3,919.72	
0.53×	0.87×	1.43×	2.36×		0.79×	1.24×	1.95×	3.07×		1.00×	1.55×	2.38×	3.66×		1.44×	2.16×	3.25×	4.89×		1.76×	2.60×	3.86×	5.72×	



Deere & Company People · Opportunity · Context · Deal

Bear \$342.52 Base \$447.05 Bull \$655.36

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

John C. May 6 yrs in seat

0.3% LOW
insider ownership key-person risk

Capital allocation (realized)
John May has been CEO since 2019 and Chairman since 2020 (a career Deere executive at a ~188-year-old company). Capital allocation is disciplined through the ag cycle: FY2025 net income \$5.0B (~29% in the downturn) and ~\$8B free cash flow funded a large buyback (\$18B program, ~\$10B executed, plus a new authorization in 2026) while the dividend was held flat (\$6.48) rather than cut. The ~\$43B consolidated debt is overwhelmingly the John Deere Capital captive-finance receivables book, not industrial leverage.

Incentive alignment
May's FY2025 compensation was ~\$27.9M, ~92% at-risk and ~54% performance-based; say-on-pay drew ~92% support. Insiders hold ~0.3% as a group — the aggregator "12% insiders" figure simply miscategorizes Gates' Cascade stake. Largest holder Cascade (~10.8%) holds a board seat (Heuberger).

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder
- combined Chair & CEO (May), mitigated by an independent lead director (Feight) and a 10-of-11 independent board
- board declassified — annual elections (a governance positive)
- the largest holder (Gates' Cascade, ~10.8%) holds a board seat — disclosed, not control
- pronounced ag-equipment cyclicality (FY2025 net income ~29%; dividend frozen) — a financial, not governance, flag

PEOPLE READ

Clean blue-chip governance: single-class one-vote, a 10-of-11 independent declassified board, an independent lead director, ~92% say-on-pay, and heavily at-risk pay. The combined Chair/CEO is mitigated exactly as a comparable mega-cap's is — and there is no founder concentration (insiders ~0.3%). Key-person risk is low for a 188-year-old, professionally-managed institution; the real risk is cyclical, not governance.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
-34.1% vs spot \$684.73

Deere & Company

supporting analysis · disclaimers · glossary

Bear \$342.52 Base \$447.05 Bull \$655.36

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Modeled debt EXCLUDES the ~\$45B captive lender.
The DCF carries only ~\$13.8B equipment-ops debt; Deere Capital's ~\$45B (offset by finance receivables) is left out, so the equity bridge is approximate.
- 2

A full multiple on trough earnings already prices the recovery.
~31x trough FCF (~20x near the bottom) embeds the upturn; buying the trough is right, but paying full leaves the modal at ~35%.
- 3

Precision ag is the de-cyclicalizing bull, not yet the base.
See & Spray / autonomy / JDLink build recurring ARR, but the mix is still small (PPA ~39%) - it shifts margins only if it scales.
- 4

2026 is management's called bottom.
CEO John May calls 2026 the bottom; C&F (+29%/+48%) and small-ag (+16%) recover while large-ag (-14%) troughs - leading legs turn first.
- 5

Tariffs are a real, sized drag.
~\$200M/qtr (~\$1.2B FY) tariff headwind, partly mitigated via reshoring/USMCA, caps the near-term margin recovery.

FALSIFICATION TRIGGERS

Bull validation

large-ag returns to order-book growth · operating margin recovers toward 18-20% on leverage · precision-ag recurring/ARR revenue grows to a disclosed, material share · net price holds +1.5-2%

Bear validation

large-ag declines worsen past ~20% as farm income stays weak · used-equipment inventories overhang new sales · operating margin stays stuck in the low-teens · tariff drag widens beyond ~\$1.2B

Reframe needed

if the precision-ag recurring mix fails to scale and margins keep reverting to the boom-bust cycle, re-rate the terminal toward a normal mid-cycle capital-goods multiple - not a de-cyclicalized platform

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Production & Precision Ag (PPA) — Deere's largest segment - large tractors, combines, planters + the precision-ag tech layer; -14%/op profit -39% this quarter, the cycle trough and swing-factor segment.

Precision ag / recurring revenue — Software-and-service layer (See & Spray targeted spraying, autonomous tractors, JDLink connectivity/ARR) that adds recurring revenue and, the bull argues, de-cyclicalizes margins.

Ag down-cycle — The boom-bust farm-equipment cycle driven by crop prices and farm income; revenue fell from a \$61.3B FY23 peak to \$45.7B FY25 - the trough this memo prices off.

Captive finance (Deere Capital) — Deere's in-house lender financing dealer/customer equipment purchases (see pushback for the modeled-debt caveat).

FCF margin — Free cash flow / revenue (~13% FY25 at the trough); the mature-DCF swing factor - whether cycle recovery + the precision-ag mix lift it durably above the trough.